

Checkpoint C | Version 1 | Key and pass criteria

Q1 | C1.1 Trade

$Q_d = 40$, $Q_s = 8$, imports = 32. Buyers gain, sellers lose, domestic total surplus rises.

Pass: Calculates domestic quantities and the gap as imports, and correctly identifies the welfare directions. No before/after surplus arithmetic is required. The given no-trade price is 10.

Q2 | C1.2 Tariffs

Domestic price = $6 + 2 = 8$; $Q_d = 32$, $Q_s = 16$, imports = 16; revenue = $2 \times 16 = 32$. Relative to free trade, buyers lose and sellers gain.

Graph: Free-trade price 6 and tariff price 8. Production DWL lies between supply and the world price from $Q = 8$ to 16; consumption DWL lies between demand and the world price from $Q = 32$ to 40. The revenue rectangle is not DWL.

Pass: Uses world price plus tariff, computes imports and tariff revenue, identifies welfare directions, and locates both DWL regions. Do not require numerical area or surplus-change calculations. The two areas would each be 8, but that is not assessed.